

NEW PLAYERS, NEW INSTITUTIONS

(ALFANI-COLLI, CH. 4)

Economic history

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IN THIS EPISODE

- What is the Little Divergence?
- Who are the main players?
- How historiography theorized this
- Why the very North Sea region overtook the Mediterranean?



THE LITTLE DIVERGENCE

- Refers to the **growing economic gap within Europe** (c. 16th–19th century).
- In the course of the early modern period, the centre of gravity (economic, political, military, cultural) of Europe shifted inexorably northwards.
- This change of balance was not painless for the southern European regions, which will see their standing deteriorate more and more in favour of the economies of the North Sea region (first Dutch Republic, then England).
- Nevertheless, we should not think of it as a revolutionary change of position. Rather, it was a long and complex process.

HOW DO WE MEASURE THIS SHIFT?

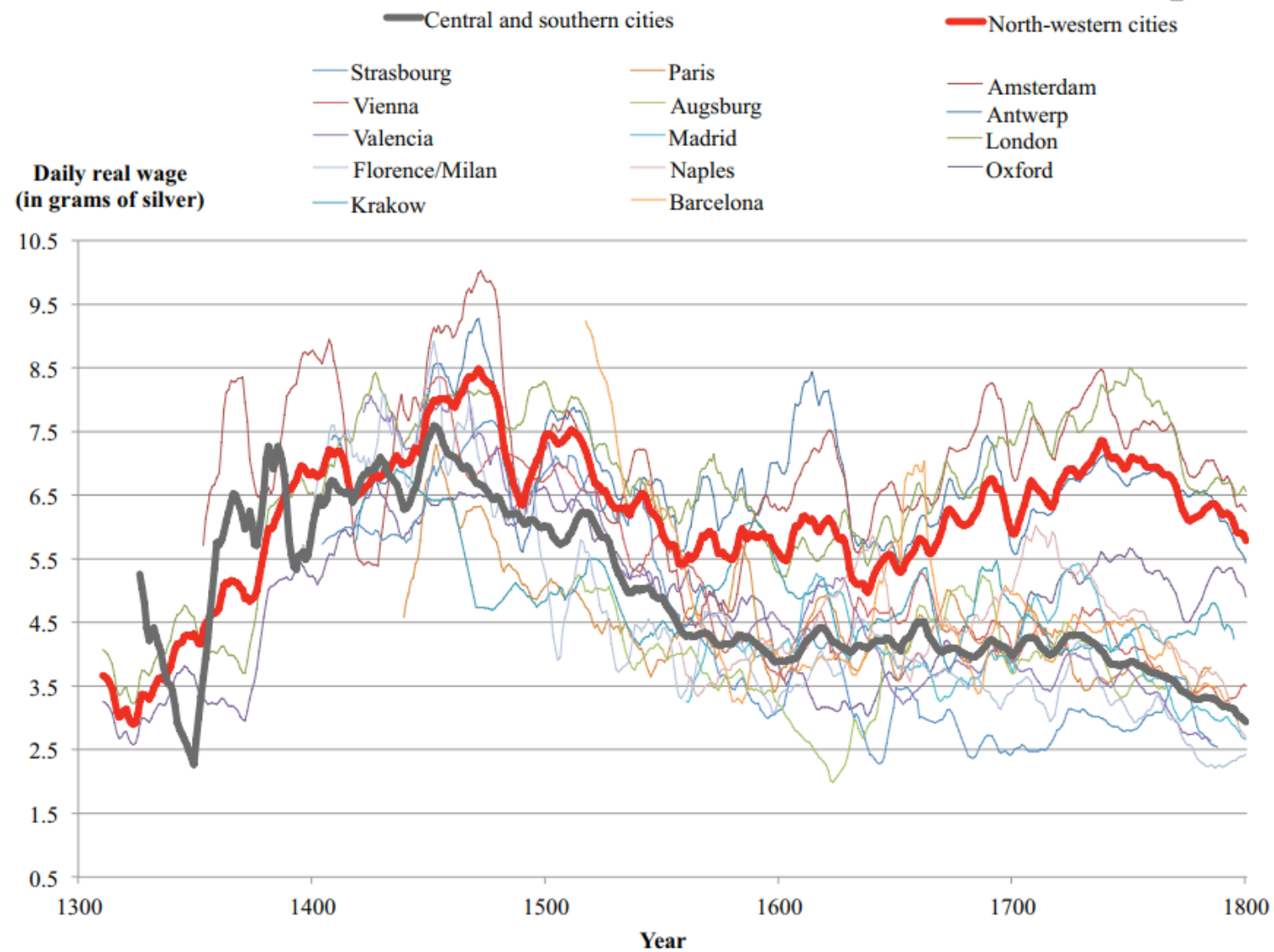
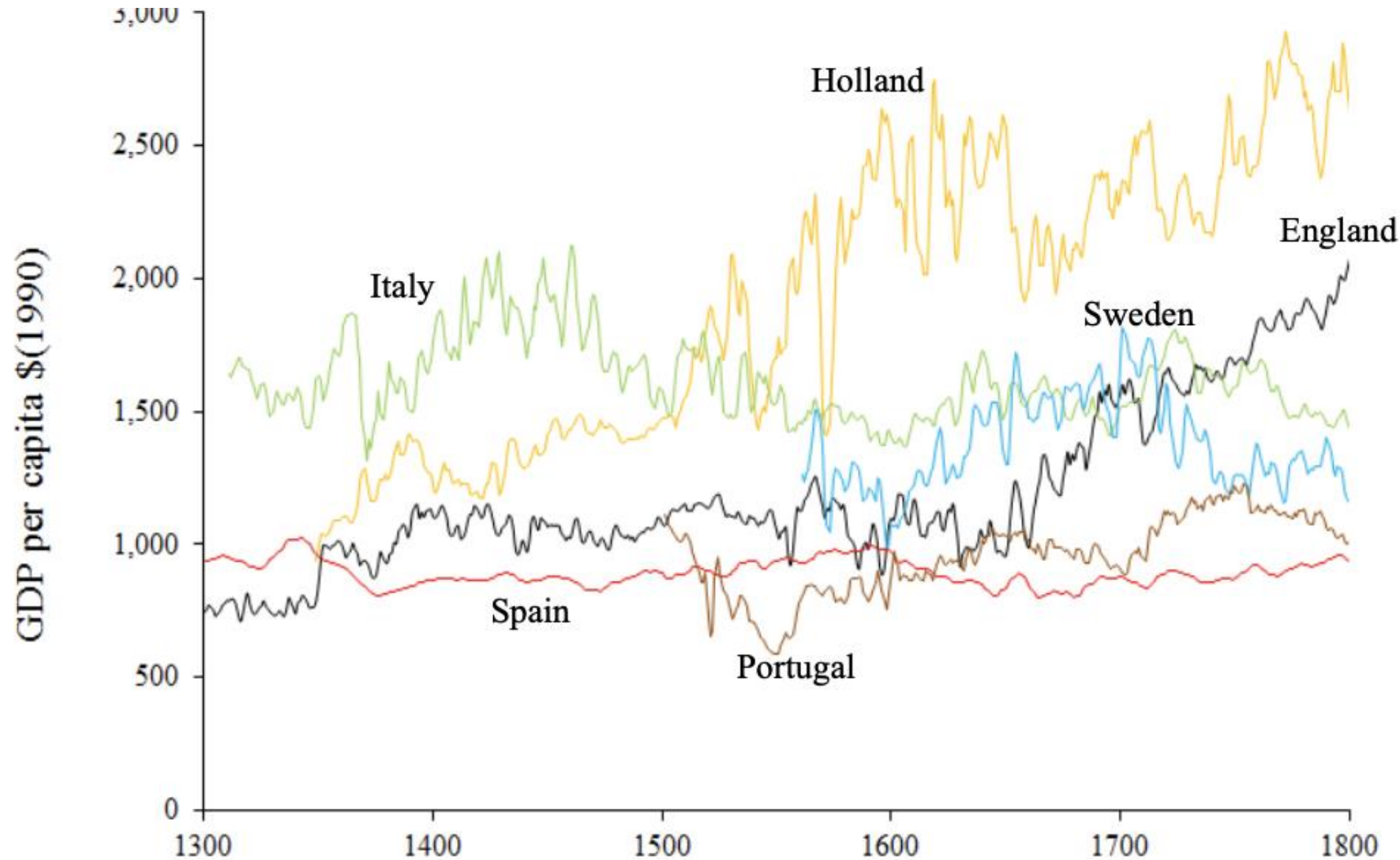
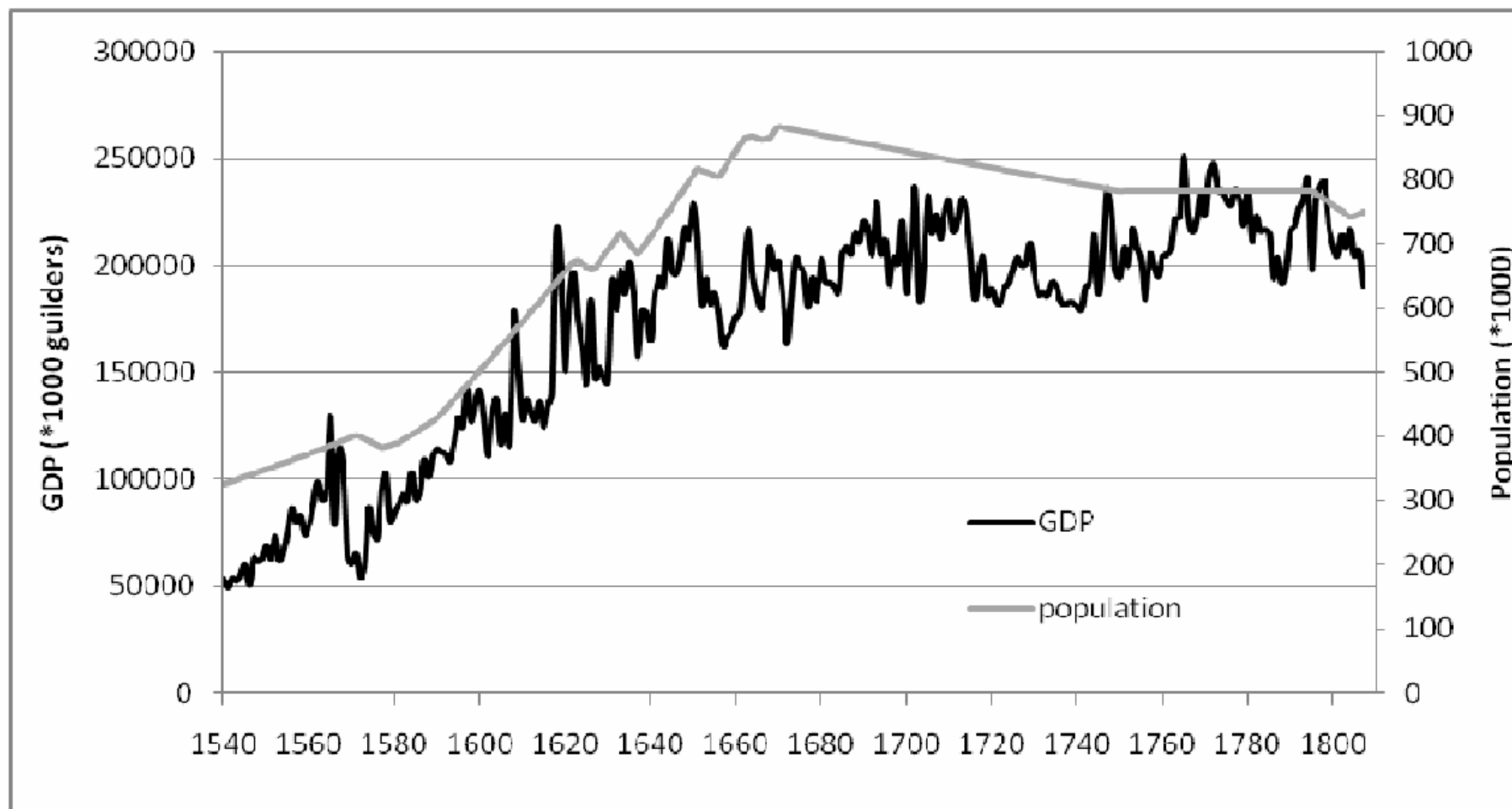


Figure 1: The long run European divergence of real wages (unskilled workers.) The lines show



Sources: England (Broadberry et al. 2011); Italy (Malanima 2011); Holland (van Zanden and van Leeuwen 2012); Sweden (Schön and Krantz 2012); Spain (Alvarez-Nogal and Prados de la Escosura 2013); Portugal: (Reis et al. 2013, Palma and Reis 2014). * 3-year average; Spain: 11-year average.



Gdp and population growth of Holland

THE MEDITERRANEAN CAME FIRST

- Until the Middle Ages (and until the very beginning of the early modern period):
 - **Mediterranean** (and particularly central-northern Italy with Florence, Genoa, Milan and Venice) was the most developed area in Europe
 - In the mid 14th century **Venice** becomes the economic centre of Europe and the Mediterranean
 - **Hanseatic and Flanders** cities were the most formidable competitor to Venetian supremacy
- The opening of the Atlantic routes shifted the core of the 'Old World' from the Italian to the Iberian peninsula.

AND THEN THE BARICENTER WENT NORTH

- Despite the strengthening of the Spanish and Portuguese empires, the economic centre was located in Northern Europe:
 - Antwerp (Flanders) became the new centre of the world economy
- **Why Antwerp?**
 - Favourable **geographical** position between the Mediterranean and the Baltic
 - **Traditional mercantile and manufacturing tradition**
 - Important **financial centre**
 - Last but not least, the city was **part of the Spanish possessions**

WHY NOT THE IBERIAN PENINSULA?

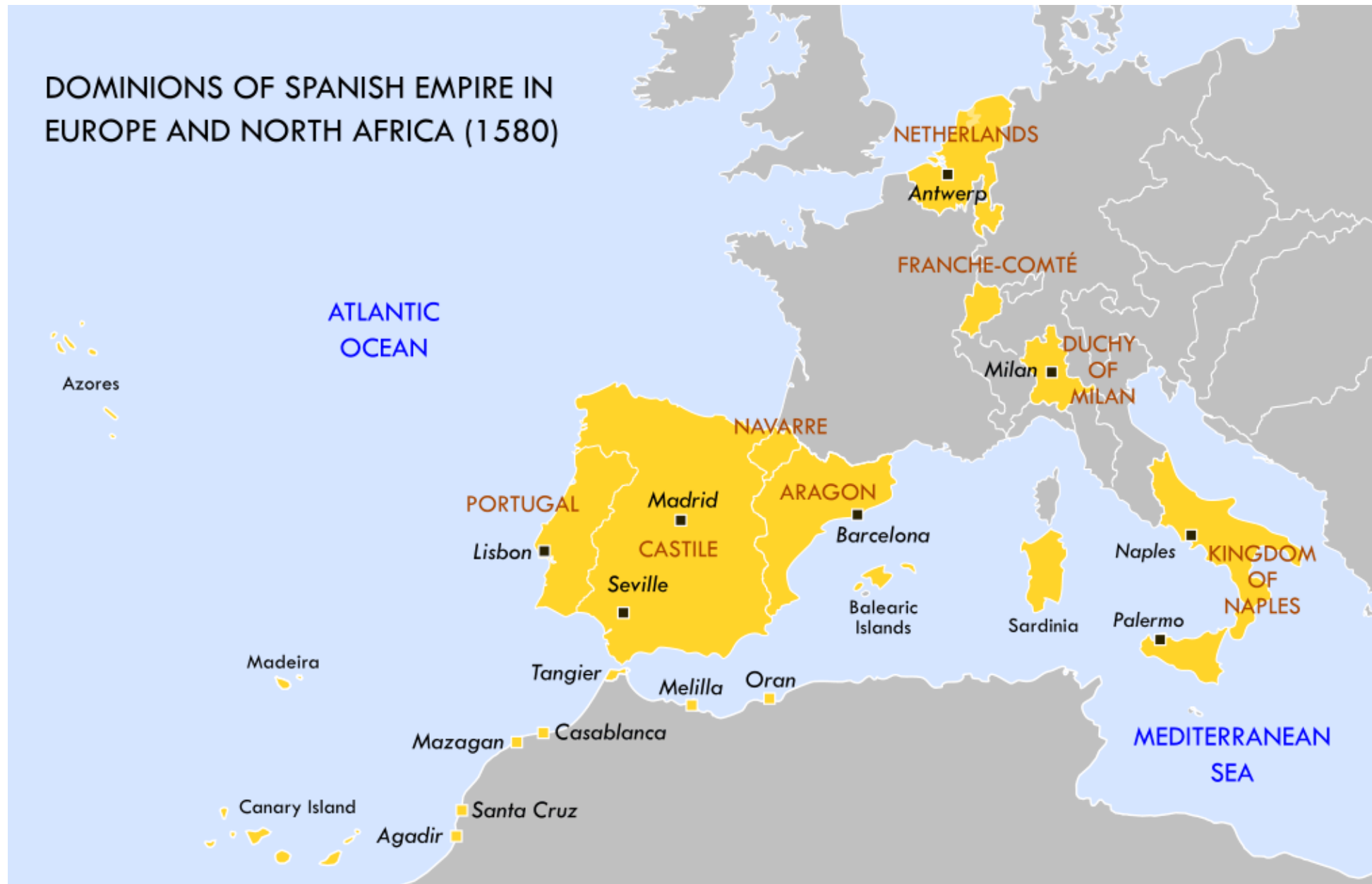
PORTUGAL

- Limited economic and demographic resources
- Recourse to Flemish merchants to trade spices in northern European markets
- English and Dutch competition targeting the African and Asian coasts

SPAIN

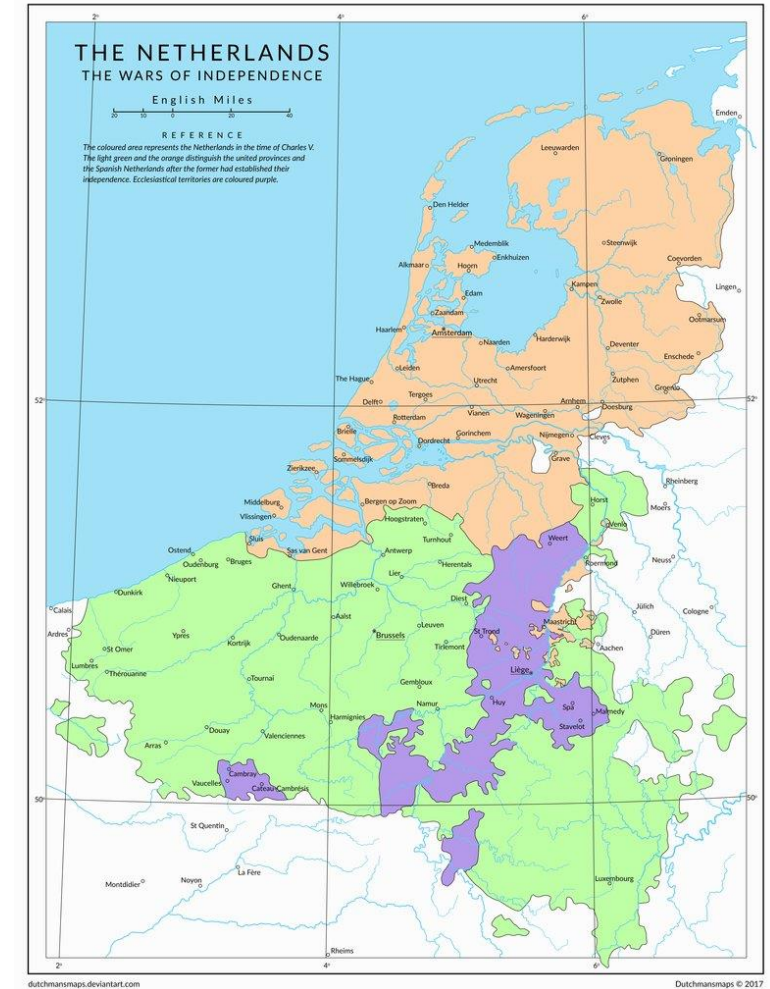
- Vastness of the empire and high costs for controlling it
- English and French competition for control of European territories (the Netherlands were the most coveted)
- Wars of religion
- Predatory exploitation of the American colonial empire
- Types of imported goods: gold and silver create inflation

DOMINIONS OF SPANISH EMPIRE IN EUROPE AND NORTH AFRICA (1580)



THE RISE OF AMSTERDAM AND THE DUTCH REPUBLIC

- First the continuous bankruptcies of the Spanish empire
- The outbreak of the Wars of Religion
 - deterioration of the economy
 - an increase in discontent in the Spanish Low Countries
(among the richest areas and those that had the most to lose)
- Discontent turned into rebellion
 - Republic of the Seven United Netherlands (Republiek der Zeven Verenigde Nederlanden) in 1581 (officially recognised only in 1648).
- Antwerp remained under the rule of Spain, accelerating its decadence and eventually favouring the rise of Amsterdam as the new (temporary) centre of the European economy.



DE JURE VS. DE FACTO POWER

- ▶ **Power** is the ability to influence outcomes:
 - ▶ in political and economic systems, it determines who gets to make decisions and how resources are distributed. Acemoglu and Robinson differentiate between two types of political power.

○ **De Jure Political Power**

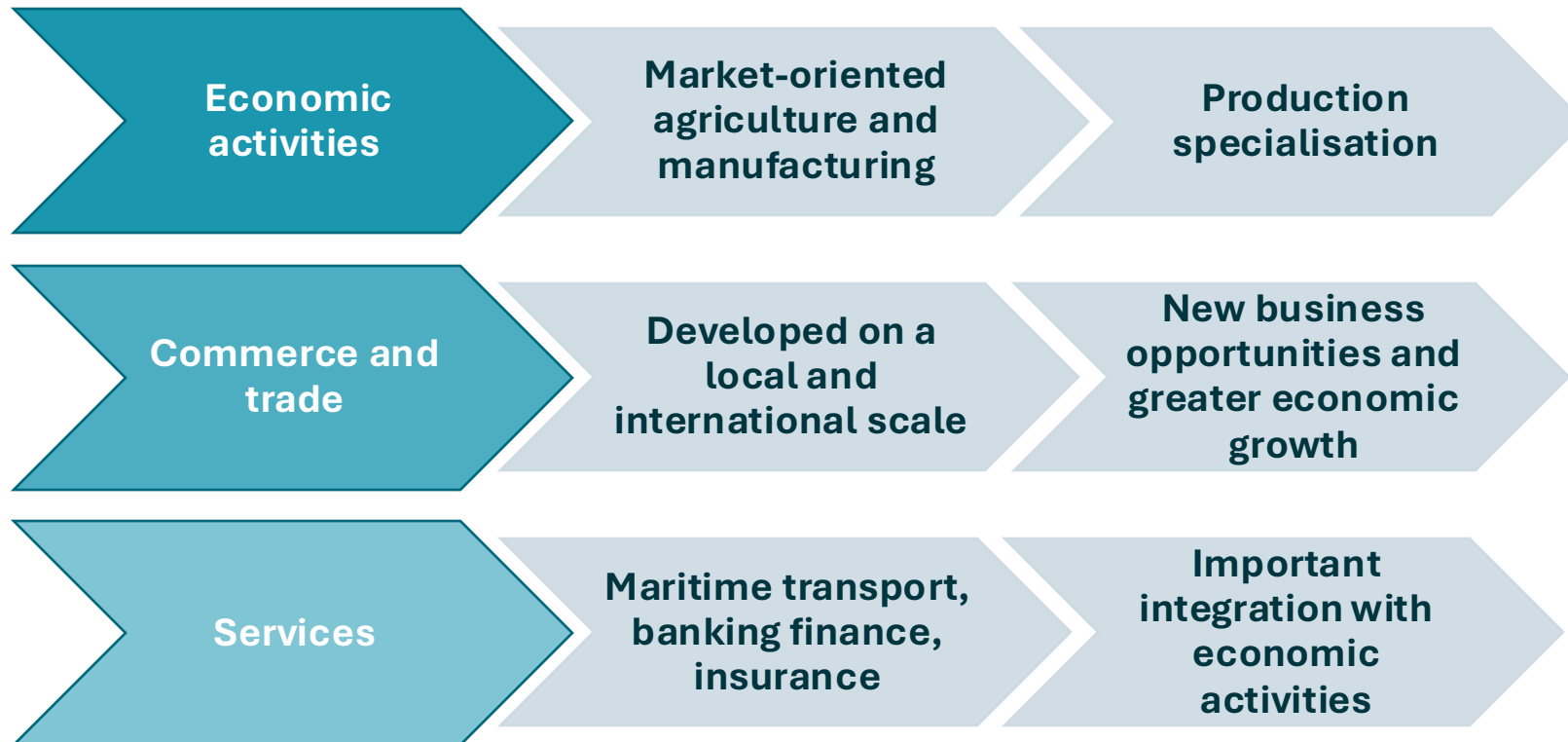
- Power that is formally recognized by law or institutions.
- **Examples:** the right to vote, the authority of an elected president, or the powers granted by a constitution.
- **Source of this power:** formal institutions, such as a country's legal system or its constitution.

○ **De Facto Political Power**

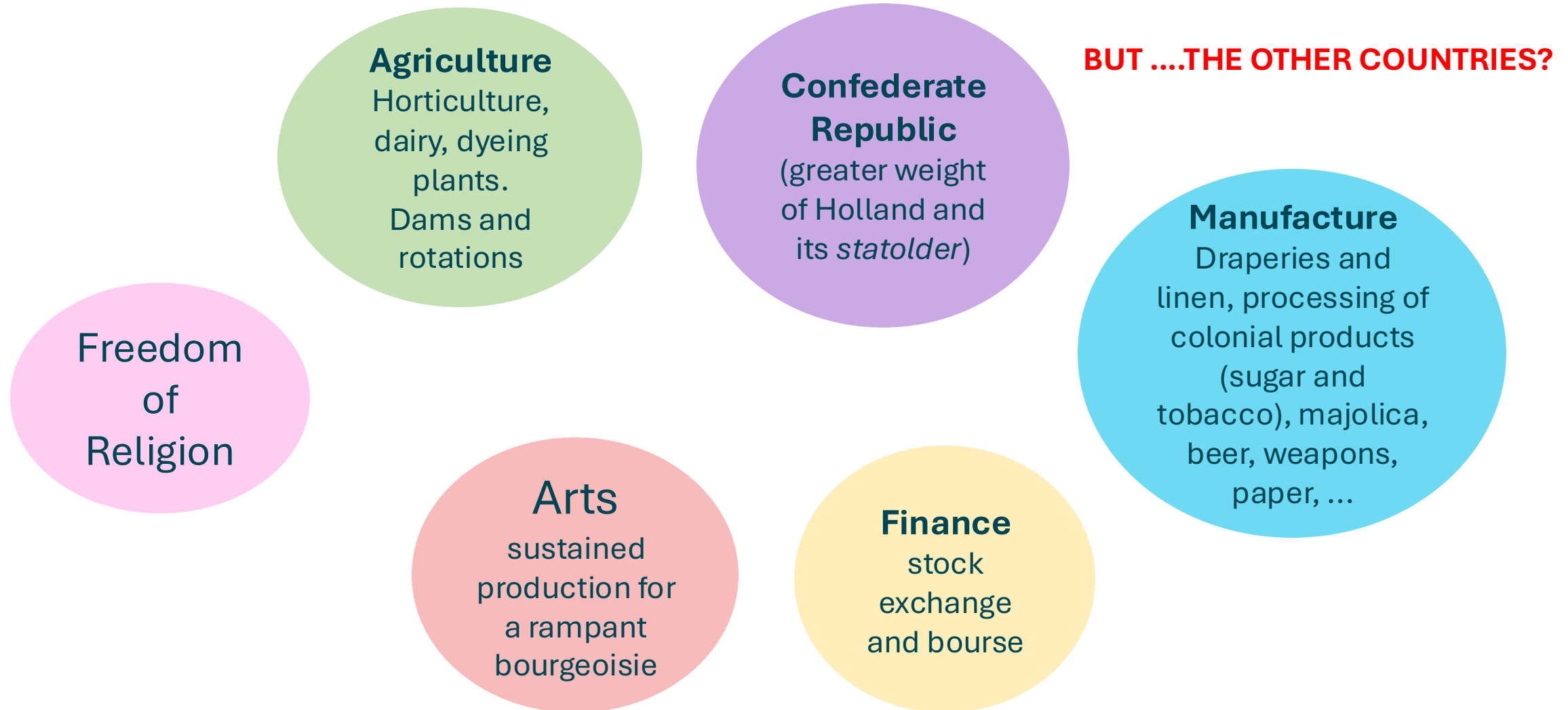
- Power that is held in practice, regardless of legal or institutional recognition.
- **Examples:** the influence of a wealthy lobbyist, or a military's capacity to overthrow the government.
- **Source of this power:** A group's ability to mobilize, organize, or use force. This power often stems from wealth, numbers, or military strength.

THE FLYING DUTCH (REPUBLIC)

- From the end of the 16th century, the Dutch economy became progressively integrated due to the high population density both in cities and small towns and this stimulated continuous innovation, exchange of ideas, and knowledge.



THE FLYING DUTCH (REPUBLIC)



THE FLYING DUTCH (REPUBLIC): TRADE

- Primacy was gained by taking trade routes and colonial possessions in Asia (with the exception of Goa (India) and Macao (China) from the Portuguese.
- The basis of Dutch commercial superiority was the trade with the **North Sea, the Baltic, the Bay of Biscay, and the Mediterranean.**
 - About 75% of the total goods moved between the Baltic and the Mediterranean were carried by Dutch merchants.
- **Amsterdam became Europe's main trading emporium** and financial centre, partly due to the large influx of religiously persecuted populations (Jews from Spain and Portugal, Huguenots from France).
 - The result was the creation of an important network of relations (resulting in lower transaction costs)

THE FLYING DUTCH (REPUBLIC): FINANCE

The *Amsterdam Wisselbank* (Amsterdam Exchange Bank) was the ‘public bank’ of the city of Amsterdam from 1609 to 1820. It had a monopoly in the handling of foreign exchange letters in Amsterdam.

- In the 18th century it was the largest bank in the world.

The Amsterdam Stock Exchange soon became a symbol of the **emerging modern capitalist system**.

Adam Smith, in *The Wealth of Nations*, cites the Dutch Republic as a model for other European nations.

THE FLYING DUTCH (REPUBLIC): INSTITUTIONS

- In Spain and Portugal, overseas trade had always been under royal **monopoly** → **what is an economic consequence of the use of monopoly?**
- The Dutch States **delegated** not only the control of trade, but also the powers of governance over the colonial territories **to private joint-stock companies**:



- the Dutch East India Company, founded in 1602, had a monopoly on trade with the Levant
 - the Dutch West India Company, founded in 1621, had the monopoly on Atlantic trade and between 1630 and 1654 even occupied a portions of Brazil
- The trading companies could enter into commercial and diplomatic treaties; recruit and maintain a fleet and an army; and administer territories independently.

HOW THE JSC PROMOTED GROWTH?

COMMERCE AND COLONIALISM

The Dutch model was adopted by other rampant countries: England and France.

- There was, however, a substantial difference in objectives:
 - The Dutch Companies aimed at increasing international trade
 - The French and English Companies aimed at establishing lasting control over overseas territories
- The English proved to be the main competitors of the Dutch from whom they finally wrested primacy in the 18th century.
- The transition was not straightforward and was fought with both
 - Traditional weapons (wars against the United Provinces, 1652-1674)
 - Commercial weapons (Navigation Acts, 1651).

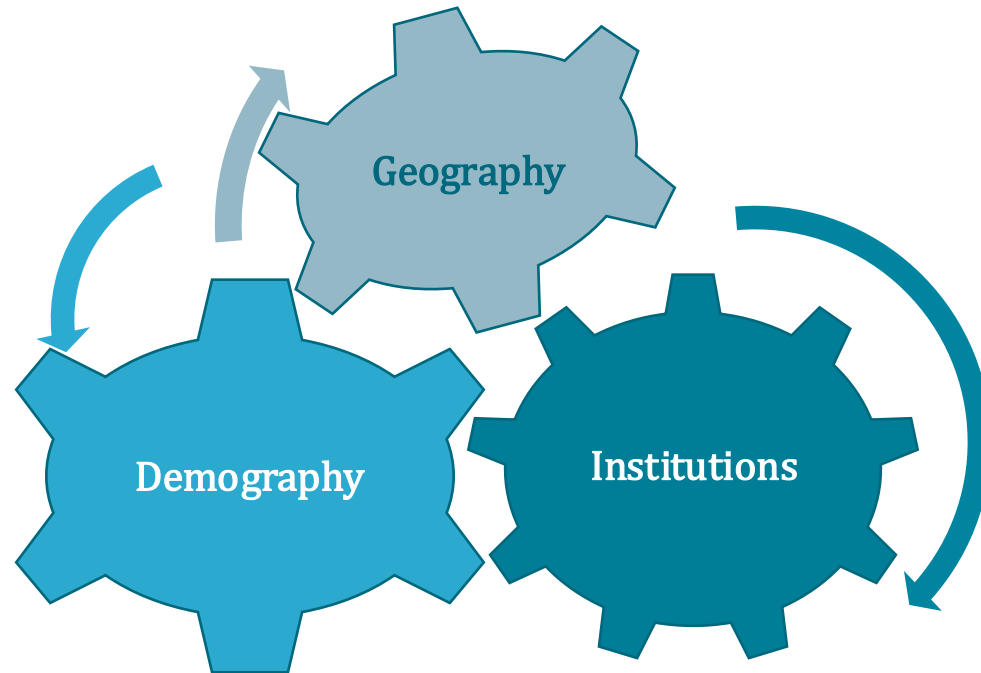
COMMERCE AND COLONIALISM

- In the 18th century, contention for supremacy in international trade involved England and France clashing repeatedly.
- **Seven Years War** (1754-1763) in which England defeated France also with the help of the 13 English colonies.
- These episodes brought both a new **awareness of their identity** in the Colonial American populations and an increase in taxes by the English motherland. All this was the detonator for the demand for independence (recognised in 1783).
- The expansion of trade had thus generated the spark for the construction of a new structure of both politics and the world economy.



HOW TO INTERPRET THE *LITTLE DIVERGENCE*?

- As is often the case, in the interpretation of complex phenomena, explanatory factors are multiple and often intersect with each other (no monocausal explanation).



HOW TO INTERPRET THE *LITTLE DIVERGENCE*? GEOGRAPHY

The *Little Divergence* is the outcome of the concurrence of two conditions:

- easy access to the Atlantic routes
- greater openness of political institutions to the demands of the new economic elites.

	Atlantic routes	Institutions
Northern Europe		
France		
Mediterranean (Genoa and Venice)		

HOW TO INTERPRET THE *LITTLE DIVERGENCE*? DEMOGRAPHY

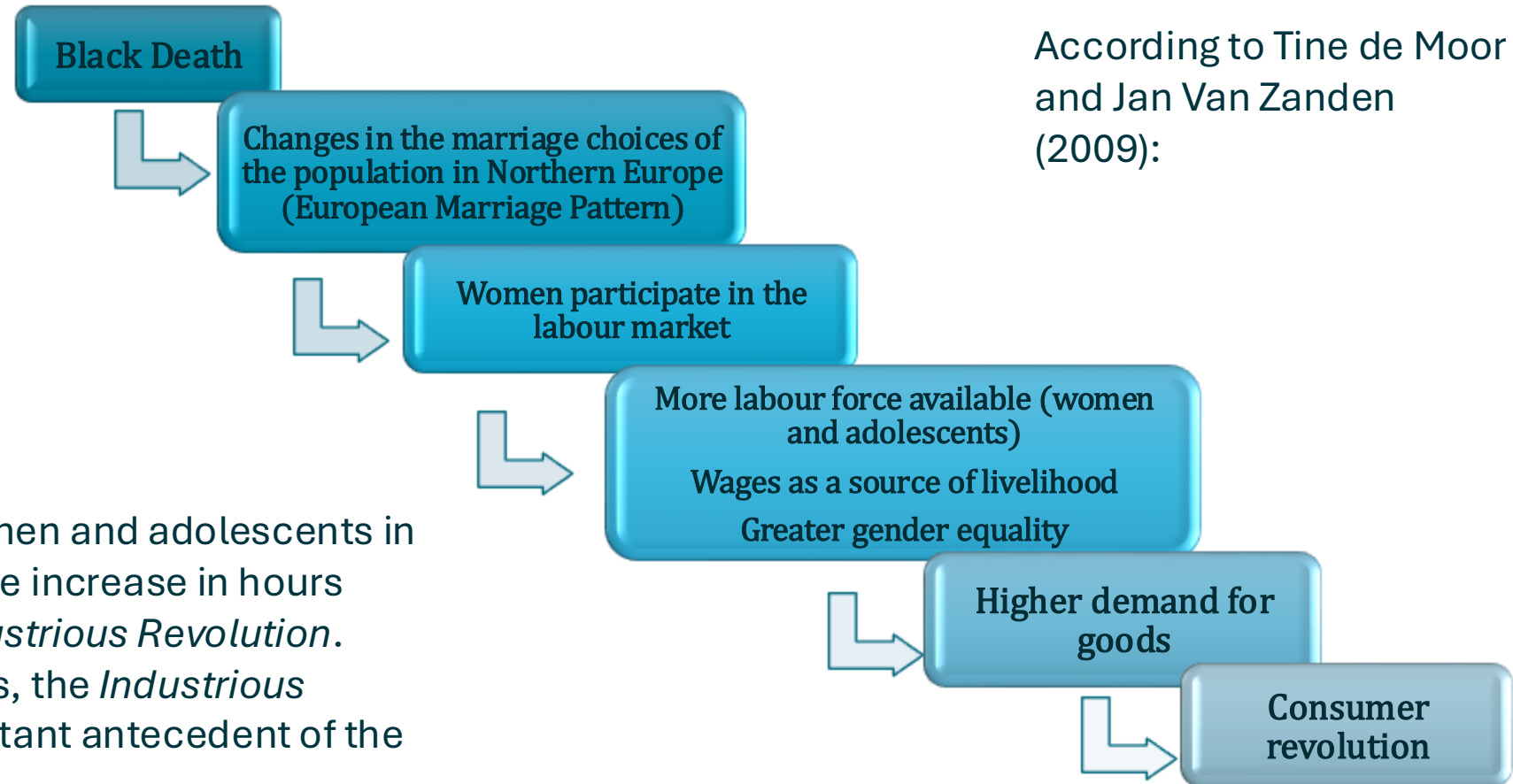
According to John Hajnal and Gregory Clark, certain socio-demographic behaviours typical of north-western European populations were behind the formation of a 'more mobile and independent' labour force.

In particular:

- higher age at marriage
- very high fertility of wealthy families
- fairer system of inheritance, which, however, led to impoverishment of families: the rich segments thinned out to swell the wealthy bourgeoisie

Guido Alfani instead emphasises the demographic consequences of the high mortality caused by the plague epidemic 1629-30. The latter, in Italy, did serious damage to the country's economy leading to a long period of stagnation/decline.

HOW TO INTERPRET THE *LITTLE DIVERGENCE*? SOCIAL INSTITUTIONS



[The participation of women and adolescents in the labour market and the increase in hours worked is called the *Industrious Revolution*. According to Jan De Vries, the *Industrious Revolution* was an important antecedent of the Industrial Revolution.]

HOW TO INTERPRET THE *LITTLE DIVERGENCE*? ECONOMIC INSTITUTIONS

In the organisation of production activity the **guilds would play a different role in England** than in continental Europe:

- with the spread of the putting out system, production in and Low Countries and England is taken out of their (constraining) control: goods can be produced more freely and more cheaply → **ADAPTATION**
- the Guilds of continental Europe, whose products are unable to compete with those of northern Europe especially in terms of price, further stiffen their positions in an attempt to maintain their (old) market share → **RIGIDITY**

The loss of weight of the guilds leads to an efficiency differential in the manufacturing sector to the advantage of northern Europe (England and the Netherlands).

HOW TO INTERPRET THE *LITTLE DIVERGENCE*? POLITICAL INSTITUTIONS

- North (1973) has focused on the emergence of “full” and “secure” **private property rights**, that would have reduced the uncertainty of economic activity.
- A novel and more advanced definition of **citizenship rights** (England, Netherlands)
 - increased public revenue
 - increased production of public goods (Prak & van Zanden 2006)
 - reduced transaction costs between citizens and state
- North & Weingast (1989): **parliamentarisation** creates favourable environment for economic growth.
 - trust
 - more willingness to pay taxes

HOW TO INTERPRET THE *LITTLE DIVERGENCE*? CULTURAL INSTITUTIONS

❖ Acemoglu, Johnson, and Robinson emphasise the importance of an environment characterised by open political institutions; this environment promotes

→ social mobility

→ the institutional innovations necessary to foster entrepreneurial initiative.

❖ Last but not least, Max Weber considered **the Protestant Reformation** as the reason for the emergence in Central and Northern Europe of new attitudes that paved the way for the development of capitalism.